Showing contexts for: **consumer complaint deficiency service unfair trade** in Lucknow Development Authority vs M.K. Gupta on 5 November, 1993

Context size: Smallest Smaller Small Current

> " 'include' is very generally used in interpretation clauses in order to enlarge the meaning of the words or phrases occurring in the body of the statute, and when it is so used these words or phrases must be construed as comprehending, not only such things as they signify according to their natural, import, but also those things which the definition clause declares that they shall include."

It has been approved by this Court in Regional Director, Employees' State Insurance Corpn. v. High Land Coffee Works of P. F.X. Saldanha and Sons2; CIT v. Taj Mahal Hotel, Secunderabad3 and State of Bombay v. Hospital Mazdoor Sabha4. The provisions of the Act thus have to be construed in favour of the **consumer** to achieve the purpose of enactment as it is a social benefit oriented legislation. The primary duty of the court while construing the provisions of such an Act is to adopt a constructive approach subject to that it should not do violence to the language of the provisions and is not contrary to the attempted objective of the enactment.

3. Although the legislation is a milestone in the history of socioeconomic legislation and is directed towards achieving public benefit we shall first examine if on a plain reading of the provisions unaided by any external aid of interpretation it applies to building or construction activity carried on by the statutory authority or private builder or contractor and extends even to such bodies whose ancillary function is to allot a plot or construct a flat. In other words could the authorities constituted under the Act entertain a **complaint** by a **consumer** for any defect or **deficie**ncy in relation to construction activity against a private builder or statutory authority. That shall depend on ascertaining the jurisdiction of the Commission. How extensive it is? A

National or a State Commission under Sections 21 and 16 and a **Consumer** Forum under Section 11 of the Act is entitled to entertain a **complaint** depending on valuation of goods or **services** and compensation claimed. The nature of '**complaint**' which can be filed, according to clause (c) of Section 2 of the Act is for **unfair trade** practice or 1 1899 AC 99: 15 TLR 61 2 (1991) 3 SCC 617 3 (1971) 3 SCC 550 4 AIR 1960 SC 610: (1960) 2 SCR 866: (1960) 1 LLJ 251 restrictive **trade** practice adopted by any **trade**r or for the defects suffered for the goods bought or agreed to be bought and for **deficie**ncy in the **service** hired or availed of or agreed to be hired or availed of, by a 'complainant' who under clause (b) of the definition clause means a **consumer** or any voluntary **consumer** association registered under the Companies Act, 1956 or under any law for the time being in force or the Central Government or any State Government or where there are one or more **consumers** having the same interest, then a **complaint** by such **consumers**. The right thus to approach the Commission or the Forum vests in **consumer** for **unfair trade** practice or defect in supply of goods or **deficie**ncy in **service**. The word '**consumer**' is a comprehensive expression. It extends from a person who buys any commodity to consume either as eatable or otherwise from a shop, business house, corporation, store, fair price shop to use of private or public **services**. In Oxford Dictionary a **consumer** is defined as, "a purchaser of goods or **services**". In Black's Law Dictionary it is explained to mean, "one who consumes. Individuals who purchase, use, maintain, and dispose of products and **services**. A member of that broad class of people who are affected by pricing policies, financing practices, quality of goods and **services**, credit reporting, debt collection, and other **trade** practices for which state and federal **consumer** protection laws are enacted." The Act opts for no less wider definition. It reads as under:

[Explanation.- For the purposes of sub-clause (i), 'commercial purpose' does not include use by a **consumer** of goods bought and used by him exclusively for the purpose of earning his livelihood, by means of self-employment;]"

> It is in two parts. The first deals with goods and the other with **services**. Both arts first declare the meaning of goods and **services** by use of wide expressions. Their ambit is further enlarged by use of inclusive clause. For stance, it is not only purchaser of goods or hirer of **services** but even those who use the goods or who are beneficiaries of **services** with approval of the person who purchased the goods or who hired **services** are included in it. The legislature has taken precaution not only to define '**complaint**', complainant', '**consumer**' but even to mention in detail what would amount to **unfair trade** practice by giving an elaborate definition in clause (r) and even to define 'defect' and '**deficie**ncy' by clauses (f) and (g) for which a **consumer** can approach the Commission. The Act thus aims to protect the economic interest of a **consumer** as understood in commercial sense as a purchaser of goods and in the larger sense of user of **services**. The common characteristics of goods and **services** are that they are supplied at a price to cover the costs and generate profit or income for the seller of goods or provider of **services**. But the defect in one and **deficie**ncy in other may have to be removed and compensated differently. The former is, normally, capable of being replaced and repaired whereas the other may be required to be compensated by award of the just equivalent of the value or damages for loss. 'Goods' have been defined by clause (i) and have been assigned the same meaning as in Sale of Goods Act, 1930 which reads as under:

> " goods' means every kind of movable property other than actionable claims and money; and includes stock and shares, growing crops, grass and things attached to or forming part of the land which are agreed to be severed before sale or under the contract of sale;"

It was therefore urged that the applicability of the Act having been confined to moveable goods only a **complaint** filed for any defect in relation to immoveable goods such as a house or building or allotment of site could not have been entertained by the Commission. The submission does not appear to be well founded. The respondents were aggrieved either by delay in delivery of possession of house or use of substandard material etc. and therefore they claimed **deficie**ncy in **service** rendered by the appellants. Whether they were justified in their **complaint** and if such act or omission could be held to be denial of **service** in the Act shall be examined presently but the jurisdiction of the Commission could not be ousted (sic merely) because even though it was **service** it related to immoveable property.

4. What is the meaning of the word '**service**'? Does it extend to **deficie**ncy in the building of a house or flat? Can a **complaint** be filed under the Act against the statutory authority or a builder or contractor for any **deficie**ncy in respect of such property. The answer to all this shall depend on understanding of the word '**service**". The term has variety of meanings. It may mean any benefit or any act resulting in promoting interest or happiness. It may be contractual, professional, public, domestic, legal, statutory etc. The concept of **service** thus is very wide. How it should be understood and what it means depends on the context in which it has been used in an enactment. Clause

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7. In Civil Appeal No. 2954 filed by a builder it was urged that inclusion of 'housing construction' in clause (o) and 'avail' in clause (d) in 1993 would indicate that the Act as it stood prior to the amendment did not apply to hiring of **services** in respect of housing construction. Learned counsel submitted that in absence of any expression making the amendment retrospective it should be held to be prospective as it is settled that any law including amendments which materially affect the vested rights or duties or obligations in respect of past transactions should remain untouched. Reliance was placed on Jose Da Costa v. Bascora Sadasiva Sinai Narcornim5; State of M.P. v. Rameshwar Rathod6 and Pulborough School Board Election case, Re7. It was also argued that when definition of '**service**' in Monopolies and Restrictive **Trade** Practices Act was amended in 1991 it was made retrospective. Therefore, in absence of use of similar expression in this Act it should be deemed to be prospective. True, the ordinance does not make the definition retrospective in operation. But it was not necessary. In fact it appears to have been added by way of abundant caution as housing construction being **service** was included even earlier. Apart from that what was the vested right of the contractor under the agreement to construct the defective house or to render **deficie**nt **service**? A legislation which is enacted to protect public interest from undesirable activities cannot be construed in such narrow manner as to frustrate its objective. Nor is there any merit in the submission that in absence of the

word 'avail of' in the definition of **consumer**' such activity could not be included in **service**. A perusal of the definition of '**service**' as it stood prior to 1993 would indicate that the word 'facility' was already there. Therefore the legislature while amending the law in 1993 added the word in clause (d) to dispel any doubt that **consumer** in the Act would mean a person who not only hires but avails of any facility for consideration. It in fact indicates that these words were added more to clarify than to add something new.

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9. Facts in Civil Appeal No. 6237 of 1990 may now be adverted to as it is the only appeal in which the National Commission while exercising its appellate power under the Act not only affirmed the finding of State Commission directing the appellant to pay the value of **deficie**ncy in **service** but even directed to pay compensation for harassment and agony to the respondent. The Lucknow Development Authority with a view to ease the acute housing problem in the city of Lucknow undertook development of land and formed plots of different categories/sizes and constructed dwelling units for people belonging to different income groups. After the construction was complete the authority invited applications from persons desirous of purchasing plots or dwelling houses. The respondent applied on the prescribed form for registration for allotment of a flat in the category of Middle Income Group (MIG) in Gomti Nagar Scheme in Lucknow on cash down basis. Since the number of applicants was more, the authority decided to draw lots in which flat No. 11/75 in Vinay Khand-II was allotted to the respondent on April 26, 1988. He deposited a sum of Rs 6132 on July 2, 1988 and a sum of Rs 1,09,975 on July 29, 1988. Since the entire payment was made in July 1988 the flat was registered on August 18, 1988. Thereafter the appellant by a letter dated August 23, 1988 directed its Executive Engineer-VII to hand over the possession of the flat to the respondent. This information was given to him on November 30, 1988, yet the flat was not delivered as the construction work was not complete. The respondent approached the authority but no steps were taken nor possession was handed over. Consequently he filed a

complaint before the District Forum that even after payment of entire amount in respect of cash down scheme the appellant was not handing over possession nor they were completing the formalities and the work was still incomplete. The State Commission by its order dated February 15, 1990 directed the appellant to pay 12% annual simple interest upon the deposit made by the respondent for the period January 1, 1989 to February 15, 1990. The appellant was further directed to hand over possession of the flat without delay after completing construction work up to June 1990. The Commission further directed that if it was not possible for the appellant to complete the construction then it should hand over possession of the flat to the respondent by April 5, 1990 after determining the **deficie**ncies and the estimated cost of such **deficie**nt construction shall be refunded to the respondent latest by April 20, 1990. The appellant instead of complying with the order approached the National Commission and raised the question of jurisdiction. It was overruled. And the appeal was dismissed. But the cross- appeal of the respondent was allowed and it was directed that since the architect of the appellant had estimated in October 1989 the cost of completing construction at Rs 44,615 the appellant shall pay the same to the respondent. The Commission further held that the action of the appellant amounted to harassment, mental torture and agony of the respondent, therefore, it directed the appellant to pay a sum of Rs 10,000 as compensation.